

# 2025 Consumer Analyst Group of New York (CAGNY) Conference

## Company Participants

- Jarrod Langhans, Chief Financial Officer
- John Fieldly, President, Chairman and Chief Executive Officer
- Kyle Watson, Chief Marketing Officer
- Toby David, Chief of Staff

## Other Participants

- Unidentified Participant, Analyst, Unknown Company

## Presentation

### Unidentified Participant

Hi, everyone. Pleasure to welcome Celsius Holdings to the CAGNY stage this year. We're especially pleased as this is Celsius' inaugural CAGNY presentation. So it's my honor to introduce Chairman, President and CEO, John Fieldly; CFO, Jarrod Langhans; Chief of Staff, Toby David; and Chief Marketing Officer, Kyle Watson.

Now, Celsius has a long and impressive track record of taking share within the competitive energy during category becoming a solid number three player. Celsius will continue to focus on driving growth this year by rolling out exciting innovation that capitalizes on the broader secular shift towards sugar-free and functional beverages, as well as capturing incremental shelf space this spring.

Now it's likely going to be another exciting year for Celsius, especially given their recent announced acquisition of Alani Nu. With that, I'm going to turn it over to Toby to hear more about their efforts. Thank you.

### Toby David {[BIO 20749891](#) <GO>}

That's good. Good morning, everyone, and thank you for having us. I'm Toby David, Chief of Staff at Celsius, and we're excited to be presenting at CAGNY for our very first time this year. Before we get started, please take note of our safe harbor statement. Some remarks made in this presentation may include forward-looking statements and non-GAAP financial measures. With that, I'd like to turn it over to our Chairman and CEO, John Fieldly.

### John Fieldly {[BIO 17560616](#) <GO>}

Thank you, Toby. Good morning, everyone. We're excited to be here at CAGNY. Thank you, Bonnie, for that great introduction. Joined Celsius back in 2012 as the CFO became CEO in April of 2018 we're excited to be here on stage. We have a lot of great things going on talking about where we've been, where we're at, where we're headed, some of the trends we're seeing in the category, and we're on the forefront of modern energy.

Some key themes I want you to take away from today to take away anything else from the presentation. Celsius Holdings is a category disrupter. We have a portfolio of premium brands.

We're [ph] operate in a large growing TAM within energy and most importantly, even larger, is functional beverage. We'll dive into that.

We have a compelling growth strategy. We have effective marketing strategies aligned with today's health, money, consumer, and we have a portfolio and innovation that's planned for this year and beyond. We also have a strong cash generation profile to further leverage our operations and efficiencies.

Celsius is the world's most refreshing energy drink. We bring flavor and innovation and function. We're all about living fit, living life to the fullest. We started off in the gyms and health clubs, but now all the CPG brands are talking about the modern age better-for-you, zero sugar.

Consumers are evolving. Celsius is aligned for those consumers, live, fit, achieve your goal, health and wellness. It brings that Essentials energy for life to power you through your day. If you haven't tried some of our great flavors, we got some samples out in the hall. Please try. We know the last several days, we've went through a lot of products. So you guys are enjoying it really refreshing stuff and make your day better and accomplish your goals. Back to this slide.

At a glance, we're looking at Celsius. Celsius is a premium, functional zero sugar offering within energy, has five over -- five product lines. Looking at our core line. It's -- we have orange, some great refreshing flavors of kiwi guava. We just launched a mango lemonade for this summer, which is completely refreshing. We have our byline [ph] which is experiential. Just think of it as a journey with every sip. We have a sparkling fruit punch flavor with a twist cosmic vibe, which is out of this world.

We have an Essentials line of a 16-ounce performance-grade line. There's a performance segment that's growing. Consumers want more out of their energy drinks. They want better view, but they want more enhanced caffeine, enhanced vitamins, has BCAs [ph] and more.

Also, we have our Hydration On-the-Go sticks, we just launched. In 2025, we have On-the-Go energy sticks. That's a great that's a great opportunity to expand the Celsius huge indication [ph]. Our RTDs in the US are at a 98.7 ACV, they're in over 250,000 locations in the US, massive opportunities to drive further revenue and share and growth.

Also the portfolio is a solid number three in the energy category. Also in 2024 they contributed approximately about 30% of the category growth rate.

It made it to the -- in the top 10 of LRB, and we'll get into that, made it to number nine in 2024, number one growth brand, RTD drove over \$2.7 billion in retail sales. And last night, we reported our earnings, as well as announcing acquisition. we'll get into more of that, which further opens up opportunities. But our revenues in 2024 totaled \$1.36 billion. Margins came in at 50.2%. Net income came in at \$145 million on adjusted EBITDA level, came in at \$256 million for the year. And adjusted EBITDA margins came in at 18.9%.

Talking about making it into the top 10. This is truly an accomplishment. Shows you where the megatrends are in food and beverage. If you look at this slide, these are global, iconic brands. Some date back to the 1800s, major brands.

But what's fascinating and the trends we've been talking about over the last several days from all the companies that have been presenting here, there's a movement taking place. There's a movement also taking place in the energy category and beverage in total. The Celsius trademark is the only trademark that has a brand of total sugar-free offerings.

It's happening, folks, and it's happening quickly. This is a great example. The Energy category continues to evolve. You also notice three of the top brands are in the energy category. As it's becoming more widespread and broad, we'll get into that.

Celsius in 2020 ranked as the 90th brand in the category in LRB, at \$140 million in sales. We had rapid expansion; we'll get into how we got here. But in 2024 made it to that number nine at \$2.7 billion in retail sales.

So the brand acceleration, just going to walk you through a little bit of history, where we've been, where we're at and where we're going. Celsius was founded, many believe only a couple years ago, is when you started to see the brand, which actually was founded back in 2004 by Janice Haley and Steve Haley and as the formulator sports nutrition, world-renowned, Greg Horn.

They set off to create a beverage that was backed by science, was clinically proven, and something that was unique to disrupt the beverage category, to align with health and wellness trends and diet nutrition, where diet nutrition and sports nutrition meets beverage, they created Celsius.

It's formulated with over seven essential vitamins, over six clinical studies. It's clinically proven with moderate fitness activity to burn calories and body fat and increase your metabolism. That same clinically proven formula that was created in 2004 is the same formula in our products today. Through the journey since 2004, we've built the brand and Vitamin Shoppe and GNC health clubs and gyms.

With the health and wellness trends that allowed us to scale the large format, mass drug, convenience and more, the opportunity is not only in the US to get to that number three brand mark. We're also expanding internationally, UK -- in 2024, UK, Ireland, Australia, New Zealand, France and more. The same health and wellness trends that we see in the US are global trends that are taking place.

Little bit on the journey. Went through a variety of pack -- branding along the way. In 2017 is when we modernized the can to the can you see today light packaging. We launched our Vibe line in 2020, partnered with Pepsi. 2022, launched Hydration. As I said, in 2025 we have some samples out there really refreshing and expands the usage occasion. Then as of last night, we entered into definitive agreement to acquire Alani Nu, further increase the TAM, the opportunities to take on the energy category.

Also, I think the Company has been built on financial discipline. Jarrod will talk more about this. We've always been focused on ROI, leverage, data analytics, financial rigor. 2015, the Company create became cash flow positive for the first time.

That same discipline we used back in 2012 when I started as a CFO, is the same discipline the Company uses today. We're very focused on opportunities to further enhance our leverage. We acquired Big Beverage (sic - Big Beverages) in 2024 to vertically integrate one of our largest co-packers.

The opportunity with Alani Nu to add additional volume will add a different leverage, additional profitability, and we'll get into more about that. We're using data analytics. We're using AI to better route our routes to market, to improve our deliveries, to improve the functionality and the time spent on accounts with our sales team.

Function-backed by science, Celsius is a premium brand with functional ingredients and zero sugar, has those seven essential vitamins that are -- which were created in 2024 -- 2004 and still

here today. It's backed by science with that moderate fitness activities, is clinically proven the burn calories, body fat and accelerate metabolism. It's on the megatrends of health and wellness, zero sugar, no high fructose corn syrup, no aspartame, very low in sodium, low on the glycemic index, kosher, vegan, gluten-free, soy and more -- soy free and more. Truly on the trends everyone's talking about here.

What's fascinating is this slide. You talk about the slide and evolution of the energy drink category over the last 20 years. Last 20 years, you go back and think of the energy drink consumer. It was male-dominated, predominantly young, thrill-seekers. You look at that demographic today in the category quite niche.

I can go back on the journey of working on distribution, talking to buyers and specific channels, taking Celsius and trying to gain distribution, talking about the better-for-you moving, talking about zero sugar, talking about how consumers want more functionality and live better. They want better offerings.

What they-- we were told is our -- their consumer smokes cigarettes and drinks sugary energy drinks and our brand didn't belong in their stores. Well a lot of things changed when you look at that top 10 ranking in all of LRB. Today the category is gender-balanced, age-balanced, lifestyle and functional-focused and is mainstream. Consumers have evolved. Also what we're seeing now is retailers are evolving.

You talk to retailers, what you're seeing retailers are expanding space, especially in large format, big box, food, mass, the traditional energy drink usage occasion historically has been, I need an energy drink right now as a media impulse purchase to accomplish a specific task. Today it's becoming part of a daily routine and a daily lifestyle.

And what you're seeing a lot of CPG companies were talking about larger pack size clarification. What you're seeing in large format, mass and food, you're seeing the category. A larger percentage of sales are coming from 12 packs, 8 packs, 6 packs, more.

What does that mean? That means that consumers are stocking up on their energy drink offerings. It's becoming part of that pantry purchase that and when you're part of the pantry, you're part of the household. That means you've gone mainstream. The opportunity to continue to grow within the energy category is massive, has an extremely large TAM, and is going to continue to grow. We'll talk more about that.

Not only in the pantry at the home stocked up with energy drinks, but the category for the first time, sugar-free is larger than sugary energy drinks. We've been talking about it. Came so close to hit -- reaching a tipping point in 2023, but it happened in 2024. The Celsius portfolio and the sugar-free portion of the energy drink category represented about 23% share in that segment, and that segment is expected to continue to grow.

The Celsius portfolio is well-positioned to capitalize on these trends. It's driving the growth in the energy category.

Delivered over \$2.7 million retail sales. Retail sales were up about 22% from 2023 to 2024. When you look at this graph, and you look at 2023 and 2024, Celsius' portfolio represented approximately 30% in both years on average, driving growth in the energy category.

The portfolio is primed for strong competitive advantages, function backed by science, a category leader in health, wellness, fitness, sports nutrition, a strong brand affinity, has an extremely loyal fan base that we can build upon, has an innovation pipeline, great new flavors,

innovation and other products, has best-in-class operation and supply chain capabilities, which will further leverage as we gain additional scale.

Our growth strategy for 2000 -- our growth strategy we'll we driving is all revolved around three key pillars, more people, more places and more often, and it's underpinned by operational excellence, more people.

What are we focusing on? Celsius' portfolio has been driving the category with new consumers entering for the first time, new consumers looking for better-for-you. The legacy energy brands might not be associated with their lifestyle. Celsius is resonating with a much broader consumer base, from age, from demographics and beyond.

Based on our data and insights, numerator and intel, we're seeing great opportunities in the Hispanic community and our flavor profiles, what the brand DNA is and who we stand for. The brand is over indexing with Hispanic community. That's a big growth driver, a big growing segment in the United States. We're building targeted plans to drive awareness, to drive loyalty and consumption.

We also have a great opportunity of converting existing energy drink users. We know a lot of users in the category are moving between the other two top brands, coming in and out, between those brands and Celsius. We have an opportunity to create loyalty with those consumers. We know we can. We're creating a healthy HALO campaign in 2025 to really solidify our position. We'll be launching that prior to summer beverage season.

In addition to more places, more places is very critical. Expanding product availability. We have a team of dedicated sales staff of over 500 in we -- in multiple regions around the country, territory managers, regional managers, working closely with our Pepsi partners.

In addition to our dedicated sales reps, we have thousands of Pepsi sales reps that we are leveraging through priority periods and further synergies also tied in now with AF [ph] -- with data and integration, we can do suggestive orders. The teams are working extremely close together.

In addition with the expanded usage occasions and energy going mainstream, the modern energy offerings now we can enhance and go into other spaces. Food service has been a big opportunity for us. Many of you heard us talk about Jersey Mike's. More opportunities exist with food service, restaurants, recreational, lodging and more.

Also ecommerce has been a key backbone to our overall success on Amazon, Walmart.com, and more. Retailers are leaning in further to their econ platforms, delivery apps, retailer apps. Consumers want it when they want it. It's an omnichannel world, and Celsius is there. So we're increasing our capabilities, our ecommerce platforms, working closely with our partners.

More often, this is a big opportunity with the energy drink category going mainstream and Celsius being the most refreshing energy drink, with some of our great flavor combinations.

Food service is a big opportunity to unlock. We know we're incremental to the basket and ring. We're seeing that in a lot of app data. Also we -- last night, we announced the expansion in the Subways up to 18,000 locations, in collaboration with our Pepsi partnership.

Further retailers and opportunities. We expanded in the Home Depot as well and many more. We have a full food service team that's being built out.

Also a great opportunity. Many of you heard the Sober Curiosity Movement (sic - Sober Curious Movement), bars, restaurants. Times are changing. We see massive opportunities to further gain

incrementality and increment -- in new revenue into our system with our mocktail strategies focusing on nightclubs, bars and restaurant and on-premise.

It's all about increasing frequency, increasing expanding that usage occasion. This is all going to be further amplified with the announcement of the acquisition of Alani Nu. We're extremely excited about this opportunity. It's creating a leading better-for-you platform to further capitalize on these megatrends in the food and beverage industry.

Alani Nu is a female-focused brand. It's growing, it's profitable health and wellness lifestyle brand with a diverse functional portfolio of loyal female followings. It's growing at scale. Last year, it delivered approximately \$600 million in revenue, growing at approximately a 50% CAGR. It's highly profitable, and model of synergistic upside to leverage the infrastructure we have to drive further EPS. Has unique consumer base. It's incremental to the category

Celsius Holdings, the combination with category drivers, health and wellness and function lifestyle platform. 80% of those revenues come from the RTD. We have samples out in the hallway. Taste amazing, very flavorful, colorful, really experiential, and it's connecting with a meaningful female consumer and a category that's coming in.

Remember, the category is going mainstream. 80% is coming from the RTDS, it has pre-workouts, energy sticks, shakes, snacks and more. Opens us up to adjacent categories and opportunities.

Scalable, the rationale for the competency [ph] -- the rationale for the strategic acquisition, creates a leading better view functional lifestyle platform at the intersection of megatrends and food and beverage.

The two growing brand -- scalable brands provide massive tailwind. They continue to drive forward and take advantages of the growth in the energy of functional beverage category.

Most importantly, have compelling brand positioning and attractive demographics. Leveraging the combined capabilities of the organization will only strengthen their position. The top-line revenue algorithm expected to be cash flow EPS-accretive in year one.

These two platforms, together with these portfolios on the combined pro forma 2024 would generate approximately \$2 billion in sales. Together, this portfolio will have approximately 16 share in the energy category.

When I started Celsius with a solid number three player, now it's a mega number three player. Massive opportunities with the tailwinds we see. The Alani and Celsius portfolio together last year, with the growth they drove, drove about 50% of the category growth.

These brands are scaling and have huge opportunities for connecting consumers and the better-for-you movement. Taking advantage of the larger energy drink category. Last year in 2024 on a global basis, it was a \$90 billion category, and it's expected to grow 10% from 2024 to 2029. The sugar-free movement and 2020 represent approximately 39% of the category. And as I mentioned, 2024, the tip for the first time that's going to continue to grow.

The brands together will be able to capture the 16 share consolidated today with further opportunities to grow and scale and take advantage of the opportunities we see. In addition, they both have products with adjacent categories, sports nutrition, evolving all-around health and wellness and additional white spaces within the category.

Our thesis, a leading portfolio of premium lifestyle brands, where attractive position and opportunity to take advantage of the scaling opportunities we see in functional beverage.

To the category leaders, we have brand affinity, brand loyalty, expanding usage of cases, expanding upon the base. We have a clear path for increased revenue and gross profit and strategies to drive more people in more places more often. We have a strong financial profile, we have a well-capitalized balance sheet. Thank you. I'll turn it over to Kyle Watson, our Chief Marketing Officer.

## Kyle Watson {BIO 21312520 <GO>}

Thank you, John. Hi, guys. My name is Kyle Watson. I'm the Global Chief Marketing Officer at Celsius. Before joining Celsius in 2019, I was in Strategic Marketing across a variety of industries, from food, beverage, retail, and sports. Very excited to be part of this brand, getting ahead of myself.

So Live Fit. Live Fit sits at the center of our brand. When I say this, we are a brand. We're not just a commodity; we're not just an energy drink. We are a brand. We align with people's aspirations to live fit in everything they do.

The active lifestyle has become a macro trend. This is crossing all demos. I mean we saw it with Covid. Everybody was embracing fitness. It's not about the gym, it's about how can we live better active lifestyles in everything, whether it's better-for-you, active lifestyles in your mind. We need to be healthy across all aspects. So living fit is a mindset from the boardroom to various boot camps. Our Live Fit positioning speaks to the aspirations of such a broad spectrum of consumers.

All of us are becoming more thoughtful in our choices of what goes into our body and throughout our entire daily routine. That's the key. Our beverage is meeting people in their routines and energy is becoming a routine beverage. It's not just a impulse purchase.

Celsius Life Fit creates opportunities, integrate our brand into every aspect of daily life, whether it's exercising at the gym or simply staying energized throughout the day with a focus on well-being.

Let's talk about our consumer. So Celsius, unique to the category, is gender balanced. We really pride ourselves in this. We are 54% female and 46% male. This ensures broad appeal. This is, again like I said -- this is unique for the category.

Additionally, we have high resonance with Gen Z and millennials. This the future of energy. We talk about, where is that category going? This -- Gen Z and millennials -- Gen Z is entering the category. A lot of millennials are looking for a little bit of a different option as they age out of traditional energy.

Again we have that resonance. We also cater to the fitness-oriented and well-being-focused individual, which again is the macro trend that we're seeing across all of CBG [ph], it's not just energy. People are looking for better-for-you choices, and we're here to meet them in that need.

They're also heavy users of social media, and on online shopping. So we see consumers really gravitating -- own the phone. We have to own the phone, whether it's social media or ecommerce, it's omnichannel world, and we are there.

Our consumers are -- we call them Generation C. They're culture curators. What does that mean? Our consumers and energy consumers in general are looking to be part of culture. They're

looking to tie their lives into cultural moments and be relevant. That's done through a variety of factors.

Our brand has been successful at meeting consumers in these moments. We've been very social media-relevant. And additionally, experientially driven, we have to create an emotional connection with consumers. This is key.

You can see examples of how we're culturally love it -- relevant. And everything from our macro trend relevant flavors to our experiential events strategy. We show at that Coachella, we show up at Formula One. We show up at MLS. We're here for the fastest growing sport. Additionally, our influencer engagement. I'll talk more about that later.

And just in general, the way that we activate it as a brand, we are so focused on making sure we're meeting consumers in a place where they're emotionally connected. We're not a commodity, we are a brand.

Our consumers are loyal. We've built a brand that people feel emotionally connected to, and this drives brand loyalty and frequency, which is key. 72% of our households are repeat buyers. This is huge. Our consumers also, by the way were outperforming the category on repeat buyers, again another proof point to how loyal our consumers are, and that when you resonate, when people resonate with a brand, they really latch onto it, and that's what we're here to do.

Our consumers make more trips more often. Our trip per buyer grew faster than the category at a higher rate last year than our direct competitors.

And additionally, we're winning with exclusive households. This is another big point, while both of our competitors saw declines, Celsius expanded its exclusive household base, capturing greater share of wallet.

And people are loyal to brands they love. I mean I'm a -- like I'm such a brand person. I can tell you right now that if we don't focus on the brand, we are going to lose every day. We are building a brand. The energy drink category is cluttered, it's aggressive, it's competitive. We have to build our brand.

These metrics reflect the power of our brand that we've built so far. I'll talk more about the opportunity to continue to build our brand awareness and build that emotional connection to our brand. We need to sustain our brand relevance again and that emotional connection.

All right. I'm excited to talk about our influencer and social strategy. This is something that we've been really adamant about building and very strong in.

We can't ignore this. Culture is based in social media and social relevance, social buzz. Our brand is socially and culturally strong. We've developed a robust influencer program that has played a major role in building this brand to where it is.

We drive 150 million monthly views and 300 million monthly impressions. This is something we have sustained and continually engage our audiences in.

Our growing own base of 7 million followers reflect a dedicated community that actively engages with our content, which drives brand advocacy and organic reach. And by the way 7 million own followers on a -- for a brand, it's not always easy. Influencers drive followers. Brands, it's harder. You're a brand, like how relevant can you be? We obviously have proven to be relevant. We're going to continue to drive that.



Additionally, we have a brand ambassador program, and you guys are familiar with Lululemon. Their successful brand ambassador program, which really uses their brand as currency to build communities and drive the brand relevant into these communities with aligned lifestyles and verticals.

We have more than 3,000 dedicated brand ambassadors that talk about our brand every single day on social media. They're creating conversations and buzz around our brand. They're bringing our product and integrating our brand into their community activities, whether it's yoga classes or fitness boot camps. Whatever it is, they're bringing our product there. It includes students, athletes, fitness enthusiasts.

Social media is culture, and I can't stress that enough. Again our brand ambassador program drives authentic conversations and in -- enters our brand authentically into communities we serve into daily routines. That's critical. We are being routinized. Energy is being -- is becoming part of a routine, especially in this better-for-you space.

Our core audience is growing. As I mentioned, we over index with millennials and Gen Z. This is the future of energy. Gen Z is entering into the energy category in their collegiate stages. They're now -- they're spending their day studying, trying to balance their life, intramurals, Greek life, community opportunities. They're trying to really make sure they establish themselves as a successful human in this world, and they need Essentials energy to do that. We're here, and we're meeting them in those moments.

You can see from this chart, these consumers are buying more energy drinks than ever before. They're looking for functional ingredients, but they're also looking for great taste. I can tell you. And I know I'm biased, but our energy drinks are the best tasting next to Alani. We have a refreshing fruit-forward flavor profile. I can tell you that people are -- they love drinking it outside of the functionality. That's a huge win.

That was -- it's different than traditional energy. That hasn't been the case in the past. Usually you're sucking down the energy drink to like -- just make sure you can perform, that's not the case for us. Celsius is delivering on what the consumer wants, and our consumer is growing as well as with the energy category.

We are so proud of what we built with this brand. Again I'm going to continue to drive the importance of building a brand versus just a product relevant in an -- a category. We need to be a brand.

We have so much opportunity to grow our brand awareness. You can see how much opportunity is there. There's so much headroom for growth. We're leveraging targeted marketing strategies in order to close this gap. For example, we engage with more consumers in more places through our growing Celsius university program. I mentioned collegiate students. This is where we're bringing consumers into the category and into our brand.

We have student ambassadors across the country. It allows us to engage with students again as they enter the category and keep them in it. Pepsi has allowed us to bring people in. We offer -- we sell products on campus.

We continue to diversify our sponsorship programs. We're a brand that I -- is always activating from an emotional and personalization level, where we want to have people engage with our brand on a more personal and emotional level.

We have -- we have premium properties like MLS, Breakaway Music Festival, which is part of our Essentials vibes tour, which is an owned property for us, and then athletes who are icons and influential to our broad consumer groups.

I am extremely excited about our combination with Alani. As John mentioned, we announced last night that we are combining with Alani Nu to increase our platform into a lifestyle functional focus well-being consumer. This is a huge opportunity for us.

I'll talk a little bit about -- I know a lot of people have questions like, how does Celsius and Alani really -- how are they complimentary? And where do we really fit?

Celsius, as I mentioned before, is gender balanced. We're fitness-focused. Alani Nu, very female-focused. Alani Nu -- I'm sorry, Celsius is a little lifestyle, while Alani Nu is more approachable, light-hearted and fun.

Alani Nu's flavor profiles are more bright, playful. I mean you can see, if you look at their social media, there's very different brand personalities that are coming out between these two brands.

Celsius, fruit-forward, refreshing. Alani is giving us an opportunity to really have a portfolio that speaks to these growing trends in nostalgia and candy-like flavor profiles and fun.

The combination of these two brands creates a dynamic portfolio well that will help us reach consumers in more places, more often with category-driving functional beverages. And as CMO, I'm excited about this combination. I truly am. Alani Nu is complimentary in every way. It'll allow us to go deeper, authentically into our respective consumer profiles, flavor innovation and marketing strategies that I've spoken about today.

Our growth strategy, John mentioned this, and I'm going to continue to hit on this. Our growth strategy is about more people, more places, more often. This is critical, more people. I mean this is how we grow.

Our primary objective is to introduce Gen Z, millennials, and Hispanic audiences into our brand. We use robust data and insights to target consumers based on everything from psychographics to media consumption and usage occasions.

We zero in on trends around flavor innovation, media habits, and social media to grow our audience. This is key. More places -- we're showing up in, more places. I've talked about all these spaces. I'm going to continue to showcase how we do that as a brand.

We show up our consumers, live, work and play. Again we're building routine -- routinized Celsius consumption, and we are standing out in the category by doing this.

We have brand ambassadors at universities across the country. We're sold all over campus. This is, again another example that I've talked about before. We're bringing consumers into the category as they enter it, and then driving that loyalty throughout.

We hit dozens of music festivals across the country with our Essentials Vibe store. This is our own platform. We all see what other brands do. You need to go outside of the energy category and create a lifestyle brand.

We forged a global partnership with Ferrari. Ferrari, you can't get more premium with that. This is tap -- letting us tap into the fast-growing FI trend.

We all saw what Netflix did to this. We have to be there. It's a cultural moment. And again -- and we're -- additionally, we're creating ownable moments. We put on a Celsius Padel event around art Basel. Again we're showing up there. We're creating own moments and emotional connections with consumers.

We're making strong progress. Our growing penetration with the Hispanic community is showing you that. From -- in 2025, we're planning bold investments behind winning marketing strategies, and they're going to distinguish our brand as the most refreshing, best tasting, functional beverage for today's fitness and wellness-minded consumers, that's aligned with all of the macro trends.

More often. We're building again consumer relevance and excitement through more consumption opportunities. John talks about this. We have so many opportunities.

Subway Pepsi has opened the doors to so many of these opportunities. We will release new flavors to inspire fresh food pairings that offer unique ways to enjoy meals. We just had a launch a cherry cola flavor that's amazing. Imagine a delicious cherry cola with your burger. I mean I'm a vegetarian, but that sounds absolutely delicious.

We're developing shopper programs of key accounts to incentivize food pairing at point of sale. So you walk into a 7-Eleven, you walk into a Circle K, and we're right there with an option to really partner on a food pairing opportunity.

We're partnering on social media with snack brands and other CBG companies that are well aligned with our brand to really showcase that on social. Again social currency is key. At every musical Festival in our Essentials Vibes tour, we're featuring a new mocktail.

The Sober Curious Movement is real. You guys have seen this. I know you follow up on trends. Gen Z is drinking more alcohol -- sorry, drinking less alcohol. I'm sure there's people in this room that don't like to hear that, but that's the truth. They are looking for experiences, but they're looking to be better. They're looking to have better-for-you experiences, and we're meeting them in that space.

We're excited to continue to utilize our food service partnerships. We're also pursuing excellent in-store execution, branded coolers, more places, more often, cold is sold.

We want our consumers to sample products throughout the day. We have field teams across the country sampling products in high-traffic locations that are meeting consumers in their daily routines. I don't care if you're going to the office or you're going to Barry's Bootcamp or Orangetheory, whatever you're on your way to do, pick up your kids from soccer, we're there to meet these consumers in that daily routine.

The food service channel and meal occasions are differentiated opportunities to our brand because we have a refreshing product that pairs well with food and that's very unique in the energy category.

Premium product and innovation is the foundation of our strategy. We've built our portfolio to appeal to consumers across age groups and usage occasions [ph] in the energy category.

Our core line is fruit forward, clean-looking sleek cans, it is appealing to a very fitness-focused, health and wellness-focused consumer, especially millennials and Gen X.

Our Vibe line was created to really capture this social relevance. And look at like -- where are Gen Z? Where are -- they're on social. They need cans that are exciting. They're hitting on macro

trends.

Look at our Arctic Vibe, our Galaxy Vibe. Last year, we launched our Galaxy Vibe, along with three other Vibe flavors, capitalizing on a trend around space and again this is something that becomes social media buzz-worthy and radiates across the digital world. We want people sharing our products.

Our Celsius 16-ounce essentials. This is something -- we need to play there. This is an energy category opportunity. We have a male focused, more fitness-centric, performance-driven audience segment to hit with our 16-ounce essentials, and we're looking to really capitalize on that. They understand supplements. They understand the fitness world. That's where Celsius 16-ounce plays.

Then our On-the-Go. You cannot possibly capitalize more on the opportunity to really drive usage occasion around the convenience and a travel-friendly consumption base with our On-the-Go packets.

Then our Hydration. Last month, we launched Hydration. This has been so exciting, our first foray into non-cafeinated opportunity to bring more consumers into our portfolio and to drive additional use of education. Why would we let our consumers that are buying Hydration go outside of our brand?

They need to drink Celsius Hydration, and we're right here. We have it on Amazon. We're selling out of it. It's a huge opportunity. This is just paving the path for what we're going to do in the future when it comes to innovation. We are all over white space opportunity.

We're looking at trends across functional and aligned categories, and we are in it to win it. So there's going to be more of this in the future. And as John mentioned, we've really embraced our combination with Alani, and this is also going to provide more opportunities in this space.

Before I hand it over to Jarrod, I'd love to show you guys a quick little marketing sizzle on our -- just a little example of how we activate in these cultural moments with our big bets around everything from MLS to F1 and Essentials Vibes store. Thank you, guys so much.

(Music)

## Jarrold Langhans {BIO 18706067 <GO>}

All right. Thank you, Kyle. We should have probably just closed with that instead of the finance guy. But I'll do my best. We do have a little bit of time left. They run a tight ship here, so I'll try and get through this pretty quickly. My name is Jarrold Langhans, Chief Financial Officer.

I've been with the company since 2022. The first 10 years of my career, I was in public accounting. Second 10 years I was with Cott Corporation, and we transformed into Primo Waters (sic - Primo Water), which is now Primo Brand (sic - Primo Brands). Last two years there, I was over in Europe, running our international operations across 20 countries.

We have a clear plan to drive shareholder value and growth. As John and Kyle have spoken to many times, it's about more people, more places, more often. Everybody's got a routine that they do.

We need to get into that path to purchase. We need to do that through driving LRB, driving the energy category, through our functional attributes. But it's -- everybody's got their routine, and we just got to get there. So it could be the billboard effect, and the cooler, it could be displays, it

could be drinking occasions, so food service, all those kind of things. But we need to get into that path to purchase so that we can build the brand awareness and we can get more consumers in and therefore drive more sales.

We expect to drive margin expansion through our growth, and we're going to do that through operational excellence. Many of you know in November of '24 so just a few months back, we bought our big beverage contract manufacturer. They've got one line with the opportunity to add a few more lines. That'll drive efficiency through our system. It'll also give us the opportunity to drive further innovation through that plant, because we'll be able to do stuff in-house that we weren't able to do before.

We're also doing things like driving scrap down. We're driving age inventory out of the system. We're using our center of excellence to drive the supply chain. We're also using AI, like many other companies are to really look at our sales, our ROI on sales, our ROI on marketing. And, of course it's all about having the right talent. So we are expanding and growing our talent and growing our bench.

Let's talk a little bit about Alani, which we believe is a very compelling valuation. It was a \$1.65 billion transaction that's net of \$150 million of tax assets. That's roughly a 12 times synergized EBITDA multiple, and less than three times revenue multiple.

The sharehold, we do have an 8.7% stock that we did give to the founders. They are putting skin in the game. They're very happy today but they are looking to stay long-term that is locked up over a two-year period. It's 12 months, 18 months, 24 months. But they are fully committed, and they are also -- we've got them into a consulting agreement for the next two years, as we integrate this business into our business.

As John said, it will be cash EPS-accretive in year one. And from a leverage perspective, we feel it's very modest at one times net leverage.

As you can see on the screen, this will create a \$2 billion business with the two leading brands in the energy category. Celsius, as John noted, we were the driving brand in the whole LRB category. We are super excited about this. We're super excited about the margin expansion, the cash generation, and the combination of this business.

Maintaining discipline capital allocation. Over the last few years, our focus really on capital allocation has been investing to fuel organic growth. We will continue to do that. We will continue to invest behind the business to drive organic growth.

In addition, we have used our strong balance sheet recently, with the contract manufacturing acquisition and with the Alani acquisition to further drive our ability to drive growth, to drive margin and to drive cash value.

As I close, let's look back to key themes that we discussed across the day. We are a category disrupter. We have a portfolio of disruptive premium brands. There's a large and growing TAM. It's not just the energy category, it's all of LRB. The consumer is looking for functional, essential energy.

We have a compelling growth strategy. It's effective, and we are full of innovation. Innovation is driving beverages, and we have strong cash generation.

Let me see if I can get this right done. We are creating the modern energy portfolio for today's consumer. Thank you, guys.

## Questions And Answers

### A - Toby David {[BIO 20749891](#) <GO>}

So we -- we're running short on time. I'll leave a couple minutes. So probably can take one, maybe two questions. Michael?

### Q - Unidentified Participant

Can you just give any more color on some of the assumptions when you talk about the EPS accretion you expect for the Alani deal? And do you bake in some amount of their growth versus its run rate, or maybe just unpack that a little bit more? Any sense of magnitude might be helpful too.

### A - John Fieldly {[BIO 17560616](#) <GO>}

Jarrold, do you want to take that?

### A - Jarrod Langhans {[BIO 18706067](#) <GO>}

Can you repeat it?

### Q - Unidentified Participant

Just for the -- when you talk about the expected EPS accretion from the Alani deal, can you give any more color on that maybe by how much magnitude of accretion or some of the assumptions behind it, like is there an amount of growth you're assuming it'll do off of its 2024 base and anything extra there? Any more color like that?

### A - Jarrod Langhans {[BIO 18706067](#) <GO>}

Yes, so we'll get more color when we close the process. We'll have a whole modeling call around that. But obviously we're looking for outsized growth outside of the energy on top of what you'll expect within the energy category.

And that cash accretion is the growth we expect in '25, in addition to some of the synergies that will start to capture. It also incorporates an estimate for the interest costs that will exist, and the synergy costs that will exist. So when you combine it all together, we're looking at -- and then obviously the 8.7% in stock that was issued. So we're looking to drive cash accretion on top of that.

### A - John Fieldly {[BIO 17560616](#) <GO>}

We see a lot of leverage opportunities, especially in the supply chain area. We looked at the vertical integration with big beverages we did in November, as well, as raw materials, logistics and so forth, as well as integrating and really having a larger sales organization as well, to really drive these two brands together.

### Q - Unidentified Participant

I think with that, we'll take things over to the breakout room for more questions. Thanks again Celsius.

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